FORECAST

DATA

THREE METHODS OF FORECASTING

- 1. Using Simple Formula
- 2. With the Help of Graph
- 3. Forecast Sheet

FORMULA

=FORECAST(x, known_ys, known_xs)

=FORECAST(A231,B3:B230,A3:A230)

LINEAR FORCASTING EQUATION

- y = the outcome (e.g. Sales)
- X = time
- m= the slope
- c= intercept

➢ $y = mx + c$

FORCASTING MODEL PERFORMANCE

FOR LINEAR REGRESSION MODEL

- Coefficient of Determination is a statistical measure that shows how well the independent variable(s) explain the variation in the dependent variable.
- It is represented by **R^2 (R-square)**.
- **Formula=**
- $R^2 = 1 - \frac{\textit{Sum of Squared Residuals (SSR)}}{\textit{Total Sum of Squares (SST)}}$